

J 2020 acc P3 A level

Answer all questions

- 1 Derby Limited manufactures a product called Mula. The following information per unit of Mula was provided

	\$
Selling price	60
Direct material	18
Direct labour	9
Variable production overhead	3
Annual costs	
Fixed production overheads	18 000
Fixed selling and administration costs	45 000
Variable selling costs : 10% of annual sales revenue	
Normal production : 15 000 units per year	

Fixed production overheads are absorbed based on normal level.

	2016	2017
	Units	Units
Production	18 000	13 000
Sales	13 500	15 000

There was no opening inventory at 1 January 2016.

- (a) Prepare Income Statements for 2016 and 2017 using
- (i) Marginal costing. [8]
 - (ii) Absorption costing. [9]
- (b) Prepare a statement to reconcile the profit in a (i) with profit in a (ii). [5]
- (c) Explain why the absorption costing statement produces a different profit figure to the marginal costing statement. [3]

Cream and Soda were in partnership sharing profits and losses equally. They decided to dissolve their partnership on 31 October 2015. They provide the following information as at that date.

Statement of Financial Position as at 31 October 2015

	\$ 000	\$ 000
Non Current Assets at Net Book Value		
Furniture		150
Motor vehicles		250
Machinery		<u>400</u>
		800
Current Assets		
Inventory	35	
Trade receivables	10	
Bank	<u>5</u>	
		<u>50</u>
Total Assets		<u>850</u>
Capital and liabilities		
Capital accounts: Cream	325	
Soda	<u>425</u>	
		750
Current accounts: Cream	25	
Soda	<u>30</u>	
		55
Current Liabilities		
Trade payables		<u>45</u>
Total capital and Liabilities		<u>850</u>

Additional information

1. Soda took over one of the firm's machinery at an agreed valuation of \$120 000.
2. Cream also took one of the motor vehicles which had a net book value of \$ 70 000 at an agreed valuation of \$ 100 000.
3. The remaining assets realised the following amounts:

	\$
Furniture	200 000
Motor vehicles	300 000
Machinery	450 000
Trade receivables	9 000
Inventory	40 000

- 4 Trade payables were paid \$43 000 in full settlement of the amount owed to them
- 5 Dissolution costs amounted to \$ 8 000.

Prepare

- (a) (i) the realisation account, [9]
- (ii) the partners' capital accounts in columnar form, [7]
- (iii) the partners' bank account, [5]
- (b) Give four reasons for partnership dissolution. [4]

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- 3 Mr White owns a departmental store. It has Butchery, Bakery and Groceries departments.

The following is a selected list of balance from his ledger as at 31 December 2017

	\$
Sales : Butchery	1 100 000
Bakery	800 000
Grocery	900 000
Purchases Butchery	550 000
Bakery	470 000
Groceries	540 000
Inventories at 1 January 2017 :	
Butchery	369 000
Bakery	185 000
Groceries	316 000
Advertising	15 000
Commission earned	18 000
Heating and Lightning	13 000
General expenses	75 000
Salaries	30 000
Provision for doubtful debts at 1 January 2017	3 000
Equipment at cost	50 000
Buildings at cost	100 000
Buildings provision for depreciation at 1 January 2017	25 000
10% Loan from Simba	50 000

Additional information

- Closing inventories at 31 December 2017

Butchery	\$400 000
Bakery	\$300 000
Groceries	\$100 000
- Depreciation is provided as follows:
 - Buildings at 20% per annum using the reducing balance method.
 - Equipment at 10% per annum on cost.

The equipment is used exclusively in the bakery department.
- Salaries of \$ 9000 were paid in advance during the year.
- Heating and lighting of \$ 7 000 was owing.
- Provision for doubtful debts were \$ 6 000 at 31 December 2017.
- The 10% loan from Simba was used to purchase Bakery equipment. The loan was acquired on 1 January 2017.

7. All expenses and commission earned are to be apportioned equally with the exception of heating and lightning as well as depreciation on buildings which are to be apportioned using area occupied.
8. Each department's manager gets a commission of 10% annually based on departmental profit after charging the commission. Calculation to be done to the nearest thousand.
9. Area occupied in square metres (m^2)

Butchery	10 m^2
Bakery	20 m^2
Groceries	20 m^2

- (a) Prepare the Departmental Income Statement for the year ended 31 December 2017 in columnar form. Columns for totals are not required. [16]
- (b) Calculate the following ratios for the Butchery department:
- (i) Gross profit margin, [2]
 - (ii) Net profit margin, [2]
 - (iii) Total expenses as to sales ratio. [2]
- (c) Explain **three** factors which may be considered before continuing with a loss making department. [3]

Additional Information
Inventories at 31 July 2015

	\$
Raw materials	15 000
Work in progress	20 000
Finished goods	45 000

2. A delivery vehicle costing \$ 20 000 was purchased on 1 August 2014 and the only entries made in the books were to debit the cost in the purchases of finished goods account and to credit the bank account.
 3. The following expenses were owing:

Factory insurance	\$ 200
Carriage outwards	\$ 350
 4. Office insurance of \$10 260 was prepaid.
 5. Depreciation is to be calculated as follows:
 - Delivery vehicles, 25% per annum on cost.
 - Plant, 10% reducing balance method.
 6. Finished goods are transferred from the factory to the warehouse at a mark up of 20%.
 7. A provision for bad debts to be increased to \$ 500.
- (a) Prepare
- (i) a Manufacturing Account for the year ended 31 July 2015. [10]
 - (ii) an Income Statement for the year ended 31 July 2015. [10]
 - (iii) a Statement of Financial position extract showing the current assets section as at 31 July 2015. [3]
- (b) Why do manufacturing businesses provide for unrealised profit? [2]